



Qualification Programme Examination Panelist's Report

Module 6 – Financial Accounting (June 2023 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance during the examination.)

(I) **Section A – Multiple Choice Questions**

General Comments

Section A consisted of 15 multiple-choice questions which assessed the candidates' knowledge of the following topics:

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| Question 1 | <i>Conceptual Framework for Financial Reporting</i> |
| Question 2 | <i>HKFRS 13 Fair Value Measurement</i> |
| Question 3 | <i>HKAS 2 Inventories</i> |
| Question 4 | <i>HKAS 16 Property, Plant and Equipment</i> |
| Question 5 | <i>HKAS 40 Investment Property</i> |
| Question 6 | <i>HKAS 23 Borrowing Costs</i> |
| Question 7 | <i>HKAS 8 Accounting Policies, Changes in Accounting Estimates and Errors</i> |
| Question 8 | <i>HKAS 10 Events after the Reporting Period</i> |
| Question 9 | <i>HKAS 21 The Effects of Changes in Foreign Exchange Rates</i> |
| Question 10 | <i>HKAS 33 Earnings Per Share</i> |
| Question 11 | <i>HKFRS 16 Leases</i> |
| Question 12 | <i>HKAS 7 Statement of Cash Flows</i> |
| Question 13 | <i>HKFRS 9 Financial Instruments</i> |
| Question 14 | <i>HKAS 12 Income Taxes</i> |
| Question 15 | <i>HKAS 37 Provisions, Contingent Liabilities and Contingent Assets</i> |

Questions 1 to 10 covered simpler concepts or computations and were worth 1 mark each. Questions 11 to 15 covered more complicated concepts or computations and were worth 2 marks each.

Specific Comments

Candidates demonstrated weaker performance on the following topics:

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| HKAS 40 | Classification of a property as property, plant and equipment or investment property |
| HKAS 8 | Distinguishing between change in accounting estimates and change in accounting policy |
| HKFRS 16 | The impact of purchase option at the end of the lease term on the right-of-use asset and its depreciation expense |
| HKAS 12 | The calculation of tax base of an asset and distinguishing between deductible and taxable temporary difference |



(II) Section B – Written Questions

General Comments

Candidate performance in Section B varied drastically. Some candidates demonstrated sufficient preparation, while some appear to not have prepared sufficiently for the examination. Some candidates either ignored various parts of Part B or wrote very brief answers. Many candidates also appear to have had difficulty understanding the mechanics of the transactions and were thus unable to produce sensible calculations or journal entries.

Specific Comments

Question 1 – 25 marks

Part (a) assessed candidates' ability to prepare a consolidated statement of financial position in accordance with HKFRS 10 *Consolidated Financial Statements*. In this consolidation exercise, candidates were required to deal with fair value differential adjustment, calculation of goodwill, and non-controlling interest using the fair value method and an upstream intra-group sale of inventories. This is a very common examination question. Candidates' performance was average and most candidates were able to handle basic computations such as goodwill and fair value differential adjustment as at the acquisition date. It was delighted to see that candidates were able to show their workings in the consolidation adjustment journal entries. However, many candidates appear to have had difficulty in handling more complicated adjustments, specifically, the allocation of profits to the non-controlling interest.

Part (b) assessed candidates' knowledge in applying the equity method to account for an investment in an associate under HKAS 28 *Investment in Associates and Joint Ventures*. Candidates' performance was lower than expected. Most candidates appear to not have been aware of the application of the equity method in accounting for the investment in an associate.

In general, candidates are strongly advised to understand thoroughly the mechanics of consolidation through consolidation adjustment journal entries (including equity accounting adjustment journal entries), as this will continue to be an important area of focus in the Module 6 examination.

Question 2 – 20 marks

Part (a) required candidates to prepare a statement of profit or loss and other comprehensive income at the company level, taking into account several transactions including property, plant and equipment, and research and development projects, as well as financial instruments.



While most candidates were able to prepare the statement of profit or loss in accordance with HKAS 1 *Presentation of Financial Statements*, a significant number of candidates appear to not have been aware of the presentation of the statement of other comprehensive income.

In terms of the accounting treatment of the transactions, candidates demonstrated weaknesses in bond issue costs. Candidates demonstrated difficulty in deciding whether the transaction cost should be added to or deducted from the initial value of the bond.

Part (b) required candidates to prepare a statement of changes in equity for the company. Performance was unsatisfactory as candidates appear to not have been aware of the format of such a statement. Candidates are expected to be equipped with the knowledge to prepare financial statements (which include the statement of profit or loss and other comprehensive income, the statement of financial position, the statement of changes in equity, the statement of cash flows, and disclosure notes) at the company level in the Module 6 examination.

Question 3 – 10 marks

This question assessed candidates' knowledge in identifying related parties in accordance with HKAS 24 *Related Party Disclosures*. Performance was average, as candidates were able, in general, to identify which party is a related party to the company in question. Some candidates were able to provide excellent explanations, while some were unable to explain their reasoning using the proper terminologies from HKAS 24.

Question 4 – 10 marks

This question assessed candidates' knowledge of asset impairment in accordance with HKAS 36 *Impairment of Assets*.

Part (a) required candidates to define recoverable amount in accordance with HKAS 36. The question was very straightforward, and performance was satisfactory, though some candidates erroneously defined the recoverable amount as the lower of the fair value less costs of disposal and its value in use.

Part (b) required candidates to calculate the impairment loss of the manufacturing plant in question, which was again very straightforward. Those who could define the recoverable amount in part (a) correctly were able to demonstrate the logic in computing the impairment loss.

Part (c) assessed candidates' knowledge of impairment reversal, which was relatively challenging. Candidates failed to demonstrate such knowledge, specifically, there was an overall lack of awareness of the "ceiling" restricting the full reversal of impairment in HKAS 36.



Candidates are advised to have a thorough understanding of the mechanics of asset-related transactions, including the more advanced computations which form an important part of the Module 6 examinations.

Question 5 – 15 marks

Part (a) required candidates to outline the five steps in HKFRS 15 *Revenue from Contracts with Customers* when accounting for revenue. This is standard textbook material; however, most candidates failed to adequately demonstrate such knowledge. As seen in the comment raised in Question 4, candidates are advised to attain a thorough understanding of the revenue recognition model, which applies to nearly all corporations across various industries.

Part (b) required candidates to prepare journal entries to allocate the transaction price to the three performance obligations in question and to recognise revenue based on the facts in the scenario. Performance was satisfactory as candidates, in general, were able to properly allocate the transaction price to the various performance obligations. While some candidates were able to distinguish the different nature of the revenue recognised, some candidates showcased difficulty in preparing journal entries using the appropriate terminologies from HKFRS 15.

(III) Conclusion and Recommendation

The syllabus of Module 6 stems heavily from technical materials, and there is no shortcut in preparing for this examination. Candidates are, thus, strongly advised to attain a better understanding of accounting standards which otherwise appear to be straightforward (for example, HKAS 16, HKAS 40, HKAS 38 *Intangible Assets*, and HKFRS 15). Candidates are expected to explain the rationale of the accounting treatments instead of simply stating the conclusions. The ability to explain logically the accounting treatment of business transactions is key to success in passing the Module 6 examination and in bridging to the professional modules. Candidates are advised to refer to the learning outcomes of the Module 6 examination, together with the proficiency level required for each learning outcome, to understand fully the Institute's expectations.